

Southgate Textiles Private Limited

Registered Office: Plot 47, SIDCO Industrial Estate, Kurichi, Coimbatore 641021, Tamil Nadu
CIN: U17291TZ2016PTC027431 | PAN: AAHCS6612M | GSTIN: 33AAHCS6612M1ZQ

AUDITED FINANCIAL STATEMENTS

For the year ended 31 March 2024

Company	Southgate Textiles Private Limited
CIN	U17291TZ2016PTC027431
PAN	AAHCS6612M
Financial Year	FY2024 (ended 31 March 2024)
Comparative Year	FY2023 (ended 31 March 2023)
Statutory Auditors	M/s. Rangaswamy & Associates, Chartered Accountants
Firm Registration No.	004512S

Contents: Independent Auditor's Report; Balance Sheet; Statement of Profit and Loss; Cash Flow Statement; Notes to the Financial Statements.

INDEPENDENT AUDITOR'S REPORT

To the Members of Southgate Textiles Private Limited

Report on the Audit of the Financial Statements

Opinion

We have audited the accompanying financial statements of Southgate Textiles Private Limited ("the Company"), which comprise the Balance Sheet as at 31 March 2024, the Statement of Profit and Loss and the Cash Flow Statement for the year then ended, and notes to the financial statements, including a summary of significant accounting policies and other explanatory information.

In our opinion and to the best of our information and according to the explanations given to us, the aforesaid financial statements give the information required by the Companies Act, 2013 in the manner so required and give a true and fair view in conformity with the accounting principles generally accepted in India, of the state of affairs of the Company as at 31 March 2024, and its profit and its cash flows for the year ended on that date.

Basis for Opinion

We conducted our audit in accordance with the Standards on Auditing (SAs) specified under section 143(10) of the Companies Act, 2013. Our responsibilities under those Standards are further described in the Auditor's Responsibilities section of our report. We are independent of the Company in accordance with the Code of Ethics issued by the Institute of Chartered Accountants of India, and we have fulfilled our other ethical responsibilities in accordance therewith. We believe that the audit evidence we have obtained is sufficient and appropriate to provide a basis for our opinion.

Management's Responsibility for the Financial Statements

The Company's Board of Directors is responsible for the matters stated in section 134(5) of the Companies Act, 2013 with respect to the preparation of these financial statements that give a true and fair view of the financial position, financial performance and cash flows of the Company in accordance with the accounting principles generally accepted in India.

Auditor's Responsibilities for the Audit of the Financial Statements

Our objectives are to obtain reasonable assurance about whether the financial statements as a whole are free from material misstatement, whether due to fraud or error, and to issue an auditor's report that includes our opinion. Reasonable assurance is a high level of assurance, but is not a guarantee that an audit conducted in accordance with SAs will always detect a material misstatement when it exists.

Report on Other Legal and Regulatory Requirements

As required by the Companies (Auditor's Report) Order, 2020 ("the Order"), issued by the Central Government in terms of section 143(11) of the Act, we give in the Annexure a statement on the matters specified in paragraphs 3 and 4 of the Order, to the extent applicable. In our opinion, proper books of account as required by law have been kept by the Company, and the Balance Sheet, the Statement of Profit and Loss and the Cash Flow Statement dealt with by this report are in agreement with the books of account.

For M/s. Rangaswamy & Associates
Chartered Accountants
Firm Registration No. 004512S

Sd/-
CA. S. Rangaswamy (Partner)
Membership No. 214536
Place: Coimbatore | Date: 27 August 2024

SPECIMEN - SYNTHETIC DEMO DOCUMENT - NOT A REAL INSTRUMENT

ANNEXURE 'A' TO THE INDEPENDENT AUDITOR'S REPORT

Referred to in our report of even date, on the matters specified in the Companies (Auditor's Report) Order, 2020

(i) Property, plant and equipment

The Company has maintained proper records showing full particulars, including quantitative details and situation, of property, plant and equipment. The assets have been physically verified by the management at reasonable intervals and no material discrepancies were noticed. The title deeds of immovable property are held in the name of the Company.

(ii) Inventory

The inventory has been physically verified by the management at reasonable intervals and the discrepancies noticed on verification, which were not material, have been properly dealt with in the books of account.

(iii) Loans and investments

The Company has not made any investments in, or granted any loans or advances in the nature of loans, secured or unsecured, to companies, firms, limited liability partnerships or other parties requiring reporting under this clause.

(vii) Statutory dues

The Company is regular in depositing undisputed statutory dues including goods and services tax, provident fund, employees' state insurance, income-tax and other material statutory dues with the appropriate authorities. There are no undisputed amounts payable in arrears as at the balance sheet date for a period of more than six months from the date they became payable.

(ix) Repayment of borrowings

In our opinion and according to the information and explanations given to us, the Company has not defaulted in the repayment of loans or borrowings to any lender.

For M/s. Rangaswamy & Associates, Chartered Accountants (FRN 004512S) — Sd/- CA. S. Rangaswamy (Partner), M.No. 214536. Place: Coimbatore, Date: 27 August 2024

BALANCE SHEET AS AT 31 MARCH 2024

(All amounts in Indian Rupees)

Particulars	As at 31 March 2024	As at 31 March 2023
I. EQUITY AND LIABILITIES		
(1) Shareholders' funds		
(a) Share capital	1,00,00,000	1,00,00,000
(b) Reserves and surplus	3,62,18,750	2,74,84,540
(2) Non-current liabilities		
(a) Long-term borrowings	1,45,00,000	1,55,00,000
(b) Deferred tax liabilities (net)	19,80,000	17,50,000
(3) Current liabilities		
(a) Short-term borrowings	80,00,000	70,00,000
(b) Trade payables	2,18,00,000	1,95,00,000
(c) Other current liabilities	31,50,000	28,00,000
(d) Short-term provisions	34,00,000	30,00,000
TOTAL	9,90,48,750	8,70,34,540
II. ASSETS		
(1) Non-current assets		
(a) Property, plant and equipment	3,48,00,000	3,30,00,000
(b) Intangible assets	3,20,000	2,80,000
(c) Long-term loans and advances	22,00,000	20,00,000
(2) Current assets		
(a) Inventories	3,30,00,000	3,05,00,000
(b) Trade receivables	2,55,00,000	2,20,00,000
(c) Cash and bank balances	26,00,000	24,00,000
(d) Short-term loans and advances	6,28,750	-31,45,460
TOTAL	9,90,48,750	8,70,34,540

Net worth (share capital + reserves and surplus): Rs. 4,62,18,750 (previous year Rs. 3,74,84,540). The notes referred to above form an integral part of the financial statements.

STATEMENT OF PROFIT AND LOSS FOR THE YEAR ENDED 31 MARCH 2024

(All amounts in Indian Rupees)

Particulars	Year ended 31 March 2024	Year ended 31 March 2023
I. Revenue from operations	18,42,67,400	15,92,00,000
II. Other income	9,80,000	8,50,000
III. Total income (I + II)	18,52,47,400	16,00,50,000
IV. Expenses:		
Cost of materials consumed	11,90,00,000	10,30,00,000
Changes in inventories of FG and WIP	-18,00,000	-15,00,000
Employee benefits expense	2,28,00,000	1,98,00,000
Finance costs	35,09,102	32,33,784
Depreciation and amortisation	68,00,000	62,00,000
Other expenses	2,31,35,312	2,01,00,000
Total expenses	17,34,44,414	15,08,33,784
V. Profit before tax (III - IV)	1,18,02,986	92,16,216
VI. Tax expense (current and deferred)	30,68,776	23,96,216
VII. Profit for the year (V - VI)	87,34,210	68,20,000

EBITDA (earnings before interest, tax, depreciation and amortisation) for the year: Rs. 2,21,12,088 (previous year Rs. 1,86,50,000). Earnings per equity share (face value Rs. 10): Rs. 8.73.

CASH FLOW STATEMENT FOR THE YEAR ENDED 31 MARCH 2024

(Indirect method; all amounts in Indian Rupees)

Particulars	Year ended 31 March 2024
A. Cash flow from operating activities	
Profit before tax	1,18,02,986
Adjustments: depreciation and amortisation	68,00,000
Adjustments: finance costs	35,09,102
Operating profit before working capital changes	2,21,12,088
Changes in working capital (net)	-29,50,000
Direct taxes paid	-30,68,776
Net cash from operating activities (A)	1,60,93,312
B. Cash flow from investing activities	
Purchase of property, plant and equipment	-86,00,000
Movement in intangibles and long-term advances	-2,40,000
Net cash used in investing activities (B)	-88,40,000
C. Cash flow from financing activities	
Net borrowings, interest paid and other financing	-70,53,312
Net cash from financing activities (C)	-70,53,312
Net increase / (decrease) in cash (A + B + C)	2,00,000
Cash and cash equivalents at beginning of year	24,00,000
Cash and cash equivalents at end of year	26,00,000

NOTES TO THE FINANCIAL STATEMENTS

1. Corporate information

Southgate Textiles Private Limited (CIN U17291TZ2016PTC027431) is a private limited company incorporated on 18 March 2016 under the Companies Act, 2013 and domiciled in India. The Company is engaged in the manufacture and sale of home textiles and furnishing fabrics. Its registered office is at Plot 47, SIDCO Industrial Estate, Kurichi, Coimbatore 641021, Tamil Nadu.

2. Significant accounting policies

(a) Basis of preparation: The financial statements are prepared under the historical cost convention on the accrual basis of accounting and comply in all material respects with the applicable accounting standards.

(b) Revenue recognition: Revenue from sale of goods is recognised on transfer of significant risks and rewards of ownership to the buyer, net of returns, discounts and goods and services tax.

(c) Property, plant and equipment: Stated at cost less accumulated depreciation. Depreciation is provided on the written down value method over the useful lives prescribed under Schedule II to the Companies Act, 2013.

(d) Inventories: Valued at the lower of cost and net realisable value, cost being determined on a weighted average basis.

(e) Taxes on income: Current tax is measured at the amount expected to be paid to the tax authorities. Deferred tax is recognised on timing differences between accounting and taxable income.

3. Contingent liabilities and commitments

Estimated amount of contracts remaining to be executed on capital account (net of advances): Rs. Nil (previous year Rs. Nil). There are no contingent liabilities not provided for as at 31 March 2024.

4. The return of income for the assessment year 2024-25 has been filed within the prescribed due date. These statements are prepared for that year.

NOTES TO THE FINANCIAL STATEMENTS (continued)

5. Share capital and reserves

Particulars	31 March 2024	31 March 2023
Authorised: 15,00,000 equity shares of Rs. 10 each	1,50,00,000	1,50,00,000
Issued, subscribed and paid-up: 10,00,000 shares of Rs. 10	1,00,00,000	1,00,00,000
Reserves and surplus (surplus in statement of P&L;)	3,62,18,750	2,74,84,540
Net worth	4,62,18,750	3,74,84,540

6. Borrowings

Particulars	31 March 2024	31 March 2023
Long-term borrowings (secured term loans and hire purchase)	1,45,00,000	1,55,00,000
Short-term borrowings (working capital)	80,00,000	70,00,000
Total borrowings	2,25,00,000	2,25,00,000

7. Property, plant and equipment (net block)

Particulars	31 March 2024	31 March 2023
Factory building	1,56,60,000	1,48,50,000
Plant and machinery (looms, dyeing and processing)	1,46,16,000	1,38,60,000
Furniture, fixtures, vehicles and office equipment	45,24,000	42,90,000
Net block	3,48,00,000	3,30,00,000

8. Related party disclosures

Key management personnel: Smt. Lakshmi Iyer (Managing Director) and Sri. Venkat Iyer (Director). Transactions with key management personnel during the year comprised managerial remuneration paid in the ordinary course, on terms not less favourable to the Company than those available in arm's length transactions.

For and on behalf of the Board of Directors

Sd/-
Lakshmi Iyer
Managing Director (DIN 07421683)

Sd/-
Venkat Iyer
Director (DIN 07421699)

Place: Coimbatore | Date: 27 August 2024